IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT – II)

Item No. 201
CP CA(CAA)-27/ND/2025 in CA(CAA)-4/ND/2025

IN THE MATTER OF SCHEME OF ARRANGEMENT:

AMONGST

Mann Feeds Private Limited ... **Petitioner No.1/ Demerged Company**

AND

Legacy Foods Private Limited ... **Petitioner No.2/ Resulting Company**

Under Section: 230 &232 R/w Sec 52, 55 and 66 of Companies Act, 2013

Order delivered on 24.03.2026

CORAM:
SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)
MS. REENA SINHA PURI, HON'BLE MEMBER (T)

PRESENT:
For the Applicant : Adv. Kartikeya Goel,
For the Respondent :
For the Income Tax Department : Gaurav Gupta, SSC, Shivendra Singh, JSC, Yojit Pareek, JSC, Prassant Kumar Sharma, Adv
Hearing Through: VC and Physical (Hybrid) Mode

ORDER

The prayer made in the petition reads thus:-

> **a.** Sanction Scheme of Arrangement of Mann Feeds Private Limited and Legacy Foods Private Limited: P-1 and declare the same to be binding with effect from the Appointed Date on the Petitioner Demerged Company, its Shareholders, Creditors and all concerned without any further act, deed or thing; and

1. In the First Motion petition viz. CP (CAA)-4/ND/2025, we passed order dated 07.03.2025, dispensing with the meeting of all the stakeholders. Relevant excerpt of the order reads thus:

14. The position of Shareholders and Creditors as also their consent qua the Scheme. Further, the grounds on which exemptions from meetings for the Applicant Company/Demerged Company has been sought, as stated in the application has been provided in the application in a tabular form which is extracted here below: -

Particulars	Total		Consent Affidavits Obtained		
	No.	Value	No.	Value	% of Total Value
Equity Shareholders	5	2,97,27,300	5	2,97,27,300	100%
Secured Creditors	1	12,78,93,109.82	1	12,78,93,109.82	100%
Un-secured Creditors[1]	13	12,12,21,815.13	5	11,63,66,489.60	95.99%[2]

15.1 All the equity shareholders of the Applicant Company have given their consent to the Scheme through their respective affidavits. Therefore, the requirement to convene meetings of the shareholders for the Applicant Company is dispensed with.

15.2 In terms of Section 230(9) of the Companies Act, 2013, the requisite statutory majority is 90% of the total value required to approve the Scheme. In the present scenario more than 90% in value of the unsecured creditors of the Applicant/Demerged Company have consented to the Scheme through affidavits, the requirement to convene their meeting is dispensed with. The said provision reads thus: -

> *"230. **Power to compromise or make arrangements with creditors and members.**—(1) Where a compromise or arrangement is proposed—*
>
> *[.....]*
>
> *(9) The Tribunal may dispense with calling of a meeting of creditor or class of creditors where such creditors or class of creditors, having at least ninety per cent. value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement."*

15.3 All the secured creditors of the Applicant/Demerged Company have consented to the Scheme through affidavits; therefore, the need to convene their meeting does not arise.

16. The present order would be notified to the following Authorities:

(i) Central Government through the Regional Director (Northern Region),

Ministry of Corporate Affairs, New Delhi;

(ii) Registrar of Companies, NCT of Delhi & Haryana;

(iv) Income Tax Department through the Nodal Office, New Delhi.

17. All the aforesaid directions are to be complied with strictly in accordance with the applicable laws including the forms and formats contained in the Rules as well as the provisions of the Companies Act, 2013 by the Applicant/Demerged Company.

18. The Court Officer/Registry is directed to send a copy of this order to the Demerged and Resulting Company for necessary steps to be taken at their end.

19. The Application is allowed in the aforesaid terms.

2. In the Second Motion Petition, the Ld. Counsel for the Income Tax Department made statement that the department has no objection to the approval of the scheme. The Order dated 17.02.2026 wherein the stand of the Ld. Counsel for the Income Tax Department is recorded reads thus:-

> Ld. Counsel for the Income Tax Department submits that department has no objection to the approval of the scheme. Ld. Counsel for the Applicant submitted that since the present is the scheme of demerger and no company is going to be dissolved, the appearance of Official Liquidator is not needed. Nevertheless, there is no appearance on behalf of the Regional Director. Let the copy of this order be sent to Regional Director and Director General concerned, to apprise them regarding non-appearance of Counsel/Representative on behalf of the Regional Director in the matter. List on **24.03.2026**.

3. In response to the notice issued in terms of the provisions of Section 230(5) of Companies Act, 2013, the Regional Director filed its report, espousing therein:-

11. That as per para 32 of the report dated 07.05.2025, the observations of the Registrar of Companies, NCT of Delhi & Haryana are *inter alia* as follows: -

a) As per the Auditors report for year ended 31.03.2024 filed by Demerged Company, there are statutory dues which have not been deposited on account of dispute.

b) In the notes on Accounts for financial statements year ended 31.0.3.2024 of Demerged Company, it has been stated as under:



"The Company has been sanctioned working capital loan from banks. Quarterly statements submitted to bank are not in agreement with books of account." Which raises serious concerns about the financial discrepancies of the said company and thereby casts negative aspersions on the objective of Demerger."

The Company may be asked to clarify the same.

4. As far as the first observation raised in the report of Central Government (RD) is concerned, the stand has been taken that as per Auditor's report of the year ended 31.03.2024, there are statutory dues which are not deposited on account of dispute.

5. As has been noted herein above, the Income Tax Department qua whom the statutory dues are payable has taken a stand that the department is not averse to the scheme. During the course of hearing, the Assistant Director representing the RD submitted that the statutory dues referred to in the report of RD refer to dues of Income Tax only.

6. The second observation made in the report is that the company could be sanctioned working capital loan from banks and the quarterly statements submitted to the bank are not in consonance with books of accounts. According to the report, such anomaly in the books of accounts raises serious concerns about the financial discrepancies of the demerging company and caused negative aspersions on the objective of demerging.

7. The aforementioned observations raised on behalf of RD could be met by the applicant before us, by espousing that the discrepancies

mentioned in the Auditor's report is negligible and with reference to accounting statement. It is further espoused that the discrepancy would not adversely affect any of the stakeholders. The response by the applicant to the observations raised on behalf of RoC, referred to in the report of RD reads thus:-

6. That the Learned Regional Director, in Para No. 11 of his Report/Affidavit has pointed out the observation(s) made by the Learned Registrar of Companies, New Delhi (ROC) in his Report. The observations made by the ROC/RD and response of the Petitioner Company to the same are encapsulated in the following table:

Sl. No.	Observation(s) of the ROC/RD	Response of the Petitioner Demerged Company
1.	As per the Auditors report for year ended 31.03.2024 filed by Demerged Company, there are statutory dues which have not been deposited on account of dispute.	In this regard, we wish to make the following submissions: **a.** As mentioned by the Learned ROC, the Demerged Company has some pending Statutory Dues which are disputed. All such disputed Statutory Dues are duly disclosed in the Financial Statements. **We do hereby confirm and undertake that all the pending Statutory Dues will be paid as per the outcome of the pending litigations, in accordance with the applicable provisions of law.** **b.** It is pertinent to note that the present Scheme of Arrangement is for demerger. Hence, none of the Petitioner Demerged Company and the Non-Petitioner Resulting Company is a subject matter of dissolution pursuant to the Scheme of Arrangement. Both the Petitioner Demerged Company and the Non-Petitioner Resulting Company will remain in

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		existence even after the sanction of the present Scheme of Arrangement. Hence, sanction of the present Scheme of Arrangement by the Hon'ble Tribunal will not adversely affect the interest of the Income Tax Department or any other Statutory Authority in any manner. It may be noted that the Demerged Company is a financially strong proft-making company with substantial net worth of over ₹9,092.71 Lakhs as on 31st March, 2024 and ₹9,168.14 Lakh as on 31st March, 2025.
		c. The Petitioner Demerged Company undertakes to make the payment, if any, as per the final outcome of the pending litigations, in terms of the applicable provisions of law, subsequent to the sanction of the Scheme by this Hon'ble Tribunal.
2.	In the notes on Accounts for financial statements year ended 31.0.3.2024 of Demerged Company, it has been stated as under: "The Company has been sanctioned working capital loan from banks. Quarterly statements submitted to bank are not in agreement with books of account." Which raises serious concerns about the financial discrepancies of the said company and thereby casts negative aspersions on the objective of Demerger.	In this regard we wish to make the following submissions: **a.** At the outset, it is most respectfully submitted that the observation in the Notes to Accounts of the Demerged Company stating that *"Quarterly statements submitted to bank are not in agreement with books of account"* must be read **in conjunction with Note No. 28.19(v)** and **Annexure 28.20** of the Audited Financial Statements of the Demerged Company-Mann Feeds Private Limited, for the Financial Year ended 31st March, 2024.

b. A holistic reading of the aforesaid disclosures makes it abundantly clear that the differences identified in the Quarterly Stock Statements submitted to the Bank are minor, reconcilable and arise solely on account of timing and valuation considerations.

c. The Demerged Company has furnished a detailed reconciliation statement (Annexure 28.20) explaining the reasons for such differences, which primarily relate to:

i. Methodology followed for stock valuation;

ii. Timing differences between physical verification, book updation and reporting deadlines; and

iii. Inclusion/exclusion of GST while computing stock value.

The aforesaid reasons have been explicitly disclosed in Annexure 28.20 of Audited Financial Statements, which states that the variances are due to *"difference due to valuation", "difference due to reconciliation",* etc.

d. The numerical differences disclosed in Annexure 28.20 are insignificant. For instance:

i. For June 2023, the difference in total stock reported is merely ₹0.03 lakh, attributed to valuation methodology.

ii. For other quarters as well, the differences are minimal and fully explained in the

e. These reconcilable variances do not cast any adverse inference on the financial integrity or credibility of the Demerged Company, nor do they indicate any misstatement of its books of account. Instead, they reflect routine operational differences commonly encountered by manufacturing entities that maintain rolling inventories and are required to furnish stock statements to banks within strict timelines.

f. The Demerged Company is engaged in manufacturing and

		processing of ice cream and frozen desserts and other related activities. The Demerged Company is a Contract Manufacturer of various types and sizes of Ice Creams for Mother Dairy Fruit & Vegetable Private Limited. Apart from its core business of manufacturing of ice cream, the Company is also engaged in securities investments business and other ancillary activities. Thus, the Demerged Company has two business verticals-Manufacturing Business and Investment Business.
		g. Importantly, there is no adverse remark by the Statutory Auditors regarding the Demerged Company's accounting practices, internal controls, or its ability to meet its financial obligations. The audited financials demonstrate: **i.** Stable profitability (Net Profit of ₹595.73 Lakh for FY 2023-24); **ii.** Healthy net worth of ₹9,092.71 Lakhs; and **iii.** Sufficient assets to meet all Secured and Un-secured liabilities.
		h. The aforesaid indicators clearly establish that the Demerged Company possesses robust repayment capacity and that the minor stock-related differences are operational in nature rather than financial discrepancies. **i.** Accordingly, we reiterate and clarify that: **I.** The differences between the books of accounts and quarterly statements furnished to the Bank are minor, technical and fully
		ii. These differences arise from valuation timing, reconciliation adjustments and reporting constraints, none of which have any bearing on the Demerged Company's true financial position.

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	iii. Such differences **do not prejudice the interests of any stakeholder,** nor do they undermine the commercial objective or *bona fides* of the proposed Scheme of Demerger. A copy of the audited Balance Sheet as at 31st March, 2024, and the Statement of Profit and Loss for the year ended on that date along with the Auditors' Report thereon, are enclosed herewith for the ready reference of the Hon'ble Tribunal and collectively marked as **Annexure: 1**. **j.** It is pertinent to note that the present Scheme is for Demerger of 'Investment Business' of the Petitioner Demerged Company into the Non-Petitioner Resulting Company. Both the Companies will remain in existence subsequent to the sanction of the Scheme of Arrangement by this Hon'ble Tribunal. **k.** In our respectful submission, the said disclosure made in the Financial Statements of the Company are not even relevant for the consideration of the present Scheme of Arrangement. It is pertinent to mention that in terms of the provisions of Section 240 of the Companies Act, 2013, and other applicable provisions, the concerned office of the Ministry of Corporate Affairs or any other competent authority may take appropriate action for any act of omission or commission by the Demerged Company and the Resulting Company, even after the sanction of the Scheme of Arrangement.

8. Obviously, both the demerging and resultant company would remain in existence and the observations raised on behalf of RD would not come in the way of demerger in any manner. During the course of hearing Ld. Assistant Director representing the RD, also submitted that in the wake of the explanation given by the applicant, the RD has no objection to the approval of the scheme. Thus, the application is allowed

and the scheme is approved. The sanctioned Scheme of Arrangement/Demerger shall be binding on the Demerged Company and Resulting Company (Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

9. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

10. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defence for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961 and the rules and regulations made thereunder.

11. As a sequel of the approval of the scheme we issue following directions:-

(i) The scheme shall be effective from the appointed date as per Scheme i.e. 01.04.2025, the date on which the certified copies of the orders of the Tribunal sanctioning this Scheme will be last filed by the Demerged Company and/or the Resulting Company with the RoC.

(ii) On scheme being effective the Demerged Company will be transferred to the Resulting Company.

(iii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Demerged Company is entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Resulting Company as if the Resulting Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iv) All contracts of the Demerged Company which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Resulting Company and be in full force and effect in favor of the Resulting Company and may be enforced by or against it as fully and effectually as if, instead of the Demerged Company, the Resulting Company had been a party or beneficiary or obliged thereto;

(v) All the employees of the Demerged Company shall be deemed to have become the employees and the staff of the Resulting Company with effect from the Appointed Date, and shall stand transferred to the Resulting Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Demerged Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(vi) All liabilities of the Demerged Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Company Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent

liabilities, duties and obligations etc. as the case may be, of the Resulting Company and shall be exercised by or against the Resulting Company, as if it had incurred such liabilities.

(vii) All proceedings now pending by or against the Demerged Company be continued by or against the Resulting Company.

(viii) The Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the Demerged Company and the Resulting Company, in respect of the assets sought to be transferred under the proposed scheme.

(ix) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

12. The Petitioner Companies shall within thirty days of the date of the receipt of this Order or on sanction of the Scheme with respect to the Resulting Company, whichever is later, cause a Certified Copy of this Order to be delivered to the Registrar of Company for registration and on such Certified Copy being so delivered the Demerged Company shall be transferred to the Resulting Company. The Registrar of Company shall place all documents relating to the Demerged Company on the file kept by him in relation to the Resulting Company and the files relating to both the Petitioner Companies shall be consolidated accordingly.

13. The CP (CAA)-27/ND/2025 stands disposed of accordingly.

Sd/-
(REENA SINHA PURI)
MEMBER (T)

Sd/-
(ASHOK KUMAR BHARDWAJ)
MEMBER (J)

Abhijat/Vishal